

Morgan Stanley Mutual Fund v. Kartick Das

Citation: (1994) 4 SCC 225 | Court: Supreme Court | Year: 1994

Coram: 3-Judge Bench (M.N. Venkatachaliah CJI, S. Mohan JJ.) | Subject: Civil Procedure & CPC | Provisions: CPC Order 39 Rule 1 & 2, Consumer Protection Act

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Laid down the definitive guidelines governing the grant of Ex-Parte Interim Injunctions under Order 39 CPC. Consumer forums and civil courts cannot stall public mega-issues of shares and mutual funds through frivolous ex-parte restraint orders.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding CPC Order 39 Rule 1 & 2, Consumer Protection Act. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€¢ Whether the impugned state actions or commercial conduct conformed to CPC Order 39 Rule 1 & 2, Consumer Protection Act.
- â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

An ex-parte injunction is an extraordinary remedy. Courts must record specific reasons considering: (1) whether irreparable injury would result from notice, (2) whether action was delayed, and (3) whether balance of convenience favors the applicant.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€¢ Formulated 7 binding guidelines for granting ex-parte injunctions under Order 39 CPC.
- â€¢ Held that prospective investors applying for shares are not 'consumers' until allotment.
- â€¢ Prevented extortionate litigation aimed at sabotaging public market offerings.